Amazon.com, Inc.

AMZN NASDAQ

Buy	$266.93 ▲ 2.94%	12M Price Target $310.00	52-Week Range $196.00 – $287.20	Market Cap $2.89T

AMZN: Market Shrugs Off AI Jitters, Rips Back to Highs

WHAT HAPPENED

- AMZN popped nearly 3% in a broad risk-on rally — Dow up 1,132 points ahead of tomorrow's CPI (inflation) print. Translation: traders are betting inflation cools, the Fed stays dovish, and megacap tech keeps running. Amazon's a prime beneficiary because cheaper money = more corporate spending on AWS cloud services.
- Notable split in the tape though — Nvidia DIVED while AMZN ripped. That's a tell: money is rotating OUT of the "AI picks and shovels" trade (chips) and INTO the "AI monetizers" (the companies actually making money off AI, like Amazon selling cloud compute to enterprises).

WHY IT MATTERS

Here's what I think is really happening: the Nvidia CEO scandal headline plus "AI legislation headaches" chatter is scaring people out of the frothiest AI names, and that cash is landing in Amazon because it's the "safer" AI play — real earnings, real cash flow, not a story stock. That token cost story matters too: as the price of running AI models keeps dropping, AWS wins because cheaper tokens = more customers using more compute. The one yellow flag is the options flow — someone bought a MASSIVE amount of near-term $270-$280 puts (bets the stock FALLS) at 73x–187x normal volume. That's not retail; that's either a hedge by a big holder or a smart-money bet that this rally fades into CPI. I'd respect that signal and not chase here.

POLICY & POLITICAL WATCH

The big one circling right now is AI legislation in Congress — specifically rules around model transparency, liability, and data usage. Counterintuitively, tougher AI rules probably HELP Amazon: they can absorb compliance costs, smaller competitors can't, and AWS becomes the default "compliant" cloud for enterprises wanting to deploy AI legally. Also watch the ongoing FTC antitrust case against Amazon's retail business — it's grinding through courts, and any settlement signals (even unfavorable ones) could remove an overhang that's been capping the multiple for two years.

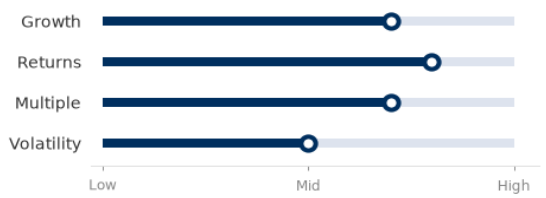
IS IT EXPENSIVE?

At $267, AMZN trades around 39x forward earnings — meaning you're paying $39 today for every $1 of profit they'll make next year. That's not cheap, but it's actually in-line with its 5-year average and cheaper than Microsoft on the same AI/cloud setup. The justification: AWS is a 30%+ margin business growing high-teens, and retail margins are still expanding. Fair, not a bargain.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$266.93**
12M Price Target	**$310.00**
Upside / (Downside)	**+16.1%**
Market Cap	**$2.89T**
FY2026E Revenue	**$712M**
FY2027E Revenue	**$785M**
FY2026E EPS	**$6.85**
FY2027E EPS	**$8.20**
Fwd P/E	**39.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

AMZN — Amazon.com, Inc. | November 09, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$285.00**	$272.00	**$250.00**
6 Months	**$310.00**	$285.00	**$240.00**
1 Year	**$340.00**	$310.00	**$230.00**
2 Years	**$400.00**	$350.00	**$220.00**
5 Years	**$550.00**	$450.00	**$250.00**
10 Years	**$900.00**	$650.00	**$300.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+3.8%) and Tech (+3.7%) — classic "soft landing" trade where people bet the Fed engineered a cooldown without a recession. Consumer Discretionary (where AMZN lives) +2.9% confirms the risk-on mood.

COOLING OFF: Pure-play AI chip names cooling after Nvidia's scandal headline. Semiconductors specifically are seeing profit-taking.

ROTATION WATCH: Money is moving from "AI infrastructure" (chips) to "AI monetizers" (cloud + software) — that's directly bullish for AMZN and MSFT. This rotation can run for weeks if CPI cooperates.

RELATED PLAY: If the AI-monetizer trade is for real, watch Oracle (ORCL) and Google (GOOGL) as cheaper ways to play the same theme. Data center REITs like Equinix (EQIX) also catch the spillover.

WHO'S WINNING IN THIS SPACE?

- TSLA (Tesla): Ripping on the "AI + robotics + risk-on" trifecta despite Cybertruck return headlines — cult stock behaving like one.
- GOOGL (Alphabet): Comm Services +7% over 5 days — Google's AI products finally getting credit, and it's a cheaper AMZN comp.

AMZN CONTEXT: AMZN is roughly keeping pace with the sector, not leading. At 78% of its 52-week range, it's closer to the top than the bottom — meaning the easy money has been made. From here you need actual earnings beats to push higher, not just multiple expansion.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup but those put buys and the stretched range position keep me from pounding the table.

POSITION SIZE: 4-6% of portfolio — core holding size. AMZN is diversified enough (retail + cloud + ads) that you can own real size without losing sleep.

ENTRY POINTS: I'd scale in at $255-260 on any CPI-driven pullback. Chasing $267 after a 3% up day is how you buy the top.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is AWS growth reaccelerating to 20%+ as enterprise AI deployments ramp — that's when the stock rerates higher.

WHEN TO BAIL: If AWS growth drops below 15% for two straight quarters, or if a serious antitrust breakup proposal gains traction in Congress, I'm trimming hard.

HEDGING: Simplest hedge — if you own 100 shares, buy one put option about 10% below current price expiring 3 months out. Think of it like insurance: costs you a small premium but caps your downside if the market cracks.

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